Capstone Project Report- Second Draft

Title- Strategic Expansion of Alpino Protein Café via 100 Franchise Stores

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1 Introduction and Description of the Project

1.1 Introduction

Alpino Health Foods is an Indian brand founded in 2016 in Surat under the name Esterella Overseas.
Their objective was to cater to the growing demand for protein among consumers. They have created a clean brand that sells products like peanut butter, protein powder, protein bars, and rolled oats.

Their idea is to keep the nutrition in the food intact by minimal processing and little to no preservatives and artificial flavors. They also featured on Shark Tank Season 1 in 2021. They are currently present in 15+ countries. They have also received recognition from PM Narendra Modi, the Great Khali, and have currently partnered with Shilpa Shetty as their brand ambassador.

1.2 Statement of purpose

The purpose of our capstone project is to provide the company with a framework for opening 100 franchise stores nationwide. It includes the following objectives -

1. Establish franchise business model and SOPs to franchise partners.
2. Develop a clean label cafe menu with a suitable pricing structure.
3. Develop an expansion plan on a city-by-city basis, taking the 15 most recommended cities, and the plan of market-entry.
4. Prepare marketing launch kits and other support materials, an investor / franchise pitch deck and ROI model.
5. Construct a tech-enabled support system and create a conclusive action blueprint on 100 cafe expansion.

1.3 Problem Statement

Lack of a clean-label food brand that serves the growing demand of consumers for healthy and protein-rich food.

1.4 Description of problem statement

The younger population in the country has become increasingly health-conscious. There are also predictions by doctors supported by data, which show the risk of cardiovascular diseases among youngsters. Owing to these factors, there is a market gap for a clean-label, healthy food brand that offers protein-rich dishes to reach health-conscious consumers.

It has resulted in an abrupt change in the consumer market to healthy and protein rich food. This rising awareness among customers of a healthy, diet-conscious lifestyle has opened up a new market for health foods which Alpino has identified and proposed a protein cafe.

Their aim is to cater to this health-conscious market by providing healthy food and beverages. They have successfully launched a pilot cafe in Surat and now want to expand to Tier 1 and Tier 2 cities.
Alpino Health Foods seeks to fill this gap to the consumers, which will offer them healthy and nutritious meals.

1.5 Theoretical Framework

The current research falls into the theoretical framework of the franchising theory, the consumer behavior theory and operations management principles. The theory of franchising has stressed that standardization, control systems and distinct distribution of functions between franchisors and franchisees is essential to achieve scalable and consistent growth. These are especially applicable in food and beverage related businesses where uniformity in product quality, service provision and brand experience is paramount in customer confidence.

The theory of consumer behavior is the basis of the analysis of the increased demand of protein-rich and clean-label food choices. Lifestyle choice, and health and nutrition awareness largely determines the food decisions made by urban and semi-urban consumers. These trends in behavior characterize the growing popularity of protein cafes and support the grandiose of the Alpino Health Foods to spread the cafe format in Tier 1 and Tier 2 cities.

This project is further informed by operations management concepts like process standardization, cost control, capacity utilization and inventory management. Franchised cafes require efficient operations since differences in staff skills, menu complexity, and the supply chain practices would directly influence profitability and scalability.

The systems that are enablers include technology-based systems, including POS, inventory management, and CRM platforms, which offer visibility, control, and data-driven decision-making within various outlets.

These theories are combined and incorporated in a conceptual model within the scope of this project where consumer awareness encourages consumer demand, consumer demand dictates menu design and pricing, menu

design dictates operational complexity and operational efficiency dictates whether franchise expansion is feasible or not.

This framework is used in the Alpino Protein Cafe expansion strategy to make sure that the expansion is facilitated by standard systems, achievable unit economics, and uniform customer experience.

1.6 Limitations of the Study

This research paper has some drawbacks that must be listed. The main study undertaken for the project is limited to a few cafes and locations, which might not fully capture consumer behavior and operations across all parts of India. In addition, the financial and operational data collected at the cafe visit is estimated and management-oriented as opposed to audited financial statements, and this may undermine the validity of the cost and profitability analysis.

The project is also oriented toward the conceptual design of franchise models, SOP frameworks, and technology systems rather than their active implementation. The conclusions, therefore, will be directed to strategic planning and decision making, and not as an operations guide. In spite of these shortcomings, the study offers rich information sufficient for consideration during academic review and strategic recommendations.

1.7 Significance of Project for Professional Practice

The capstone project is of great importance to professional practice in business strategy, franchising, and food and beverage management. It shows how theory can be used into practical models with help of field research and systematic analysis. The project offers a scalability methodology for health-based cafe brands and handles the universal constraints of uneven operations, employee reliance, and cost management.

To the entrepreneurs and practitioners in the industry, the project will provide a template on how to expand the franchise to include menu development, pricing, technology facilitation, and market analysis city by city. It is an example of interdisciplinary problem-solving in the form of a combination of consumer behavior, operations management, and strategic planning for students and academic professionals.

1.8 Definition of Term

Clean-Label Food: Food items that are processed with little or no food preservatives, flavorings, or other food additives.

Protein Cafe: A cafe based establishment whose idea is to provide protein-based food and beverages in line with health and fitness objectives.

Franchise Model: It is a type of business where franchisor gives out license of its brand systems and processes to the franchisee.

Standard Operating Procedures (SOPs): This is written-down policies that guarantee that food is prepared, served, staff trained, and inventory managed in a consistent manner.

Average Order Value (AOV): This is the average dollars a customer spends on each transaction.

Unit Economics: This is a financial performance analysis done at the outlet level.

POS (Point of sale system): This is a digital system that can be utilized in billing, inventory tracking, and sales reporting.

CRM (Customer Relationship Management): Solutions that are employed to control customer information, loyalty programs, and repeat-based engagement.

2 Literature Review

The health based food and drink industry has been increasingly on the upward trend today because of the surging level of lifestyle diseases and heightened health consciousness among the consumers since the covid. Customers have begun shifting to high-calorie foods to those that are nutritious. According to Mordor Intelligence the existing Indian protein market is estimated to be USD 1.52 billion and is expected to increase at a CAGR of 6.5 till the year 2030. The main reasons behind this accelerated growth are the increasing urbanisation, the exposure of the people to worldly food trends due to social media and the augmented capacity of the people to spend.

The current literature on the topic of the health-based F&B sector equally points to the fact that in spite of the high consumption of energy-dense food by people, the Indian society has a serious protein deficit. According to a study done by Reuters and other nutritional surveys, nearly 73 percent of Indians are deficient in protein. Due to this imbalance, there has been the appearance of protein-rich food, functional foods and vegan protein as viable options.

According to a study conducted by CEEW, the current protein consumption of Indians amounts to approximately 56 grams per day, but half of this is merely the intake of low-quality amino acid-containing cereals like wheat, maida, and suji, which are poorly digestible. This high cereal intake as a source of protein exceeds the recommended 32 percent of cereals. Other high-quality sources of proteins are not taken or consumed due to lack of awareness, non-availability among rural people, or under-provision of these high-quality protein sources within government food programmes like the Public Distribution System.

Indian diets are very reliant on cooking oils and wheat or rice. In India, pulses are not being consumed according to the required levels and are contributing about 11 percent of the protein consumption with the required levels being 19 percent, thus forming an enormous nutritional disproportion. The other point of concern is the salt content in Indian diets. It contains approximately 11 grams of salt daily, which is twice the amount advised by the WHO of 5 grams of salt per day. In order to deal with these issues, there isa need to ensure that protein-rich food offerings are available to Indian citizens at affordable prices, conveniently, and in a way that is acceptable to all.

Furthermore, while conducting research on food service trends, I noticed that health-oriented cafes are gaining popularity and have become a strong niche in the food and beverage industry. In an article published in The Times of India, it is stated that the increasing culture of gyms has prompted the existing food brands, food

delivery services, as well as the emerging cafes to add protein-rich foods in their menu. The urban Indian population is in growing need of health-conscious food options offering low-cost, healthy meals.

The Indians consume very little protein compared to the 48 grams per day recommended by the Indian Council of Medical Research (ICMR). The ideal protein intake by an average Indian adult is 0.8-1 gram of protein per kilogram body weight with the average being only 0.6 gram. Studies based on the findings of the National Sample Survey (2011-12) indicate that consumption of protein products is decreasing at the per capita levels in rural and urban India. The biggest cause of this loss is the high-cereal diets that provide low-quality and ill-digestible protein. This loss is mainly due to high consumption of grains, which contain low quality, and do not digest protein. Comparison of the global data shows that India has one of the lowest protein consumers in the globe.

Industry-oriented publications also facilitate the growth of the demand for health-conscious food options in India. According to the article by Restaurant India titled Why There Is a Sudden Growth of Healthier Meal Options in Restaurants, the trend of eateries and cafes offering healthier and higher-protein meal options was caused by the increased fitness culture, post-pandemic lifestyle changes, and the rise in health awareness. This trend is in line with studies that have indicated the shift to a lack of high-caloric meals, rather, high-nutrition and functional foods, particularly in urban India. The report indicates that the food service businesses are increasingly responding to the consumer demand of well-balanced and high-protein foods, which further substantiates more generalized research on the necessity to provide inclusive and sustainable health-based food solutions.Nevertheless, it also highlights the role of affordability and accessibility, a concern raised in previous studies.

3 Methodology

To ensure the project is grounded in actual market behavior rather than guesswork, we chose a practical, field-based research methodology. We have started by visiting established healthy cafes in Ahmedabad to understand their operations. We communicated with their managers and attempted to understand their pricing scheme, menus, customer awareness, footfall, etc.

Having identified the supplier position, we are now successfully conducting a survey of health-conscious folks to find out what consumers want. We shall concentrate on learning more about their food habits, protein consciousness, price consciousness, their favorite time to eat, etc. This assists in the demand-side expectations of the potential customers.

The findings from cafe visits and consumer surveys will be merged and evaluated to create a scaled menu, pricing structure, and customer experience at Alpino Protein Cafe. Such results will be subsequently utilized to develop a viable franchise structure, business principles, and an urban-scale expansion strategy to grow 100 cafes in India.

Besides field visits and consumer research, we will also use information provided by the company, including sales figures, average order values, and details on the software systems used at Alpino. This will be analyzed in order to better understand the real consumer base, preferences, and purchasing behavior. This will help us keep the final recommendations we make for this project rooted in the realities on the ground and the project's overall objectives.

4 Cities Recommendation:

As per our analysis, the following cities provide best opportunities for Alpino Protein Cafe to expand their franchise outlets.

1. Delhi:

A large portion of its population comprises young professionals, student communities, and fitness enthusiasts who are health-conscious and frequent gym-goers. Such people are usually short of time and skills to cook their own meals, and thus they trust cafes and restaurants that can deliver quality post-workout meals in a convenient and inexpensive manner. According to an industry indicator, the post-workout meals are a new category that is gaining 23% market share. This shows that it accounts for almost a quarter of total restaurant visits in Delhi, with customers being proactive in ordering foods rich in protein and carbohydrates.

2. Chandigarh:

It is regarded as a food hub in North India. Even more Generation Zs and millennials are going to cafes. The recent boom in health-focused cafes and restaurants shows that healthy food is in high demand among urban dwellers. The city's inclusion in Swiggy's 'High Protein Category' program highlights that there is increased demand for protein-based food within the city.

3. Hyderabad-

India's sixth-largest food services market is projected to grow by 12 percent per year. It is composed of a better-organized vegetarian sector. There is high QSR penetration due to urbanization, a professional youth population, and increased disposable income.

4. Bengaluru:

Bengaluru is the most health-conscious city in India, with the largest concentration of start-ups and tech professionals, and a strong culture of gyms/ yoga classes. A large percentage of the population adheres to the organized fitness programs and is interested in high-protein, functional food, particularly after physical activity. The lack of time among the working population makes cafes that offer easy access without reducing the nutritional value more reliable. Despite the competition, the massive size of the addressable market and Bengaluru's high acceptance rates make the city a strategic flagship city in terms of brand visibility and scale.

5. Pune:

Pune has a high student population, young professionals, IT workers, and health-conscious consumers in a high-density area. Its cafe culture is well-established and embraces trends in health and wellness. With several universities, technological parks, and fitness centers in the regions of Hinjewadi, Baner, and Viman Nagar, there is always a need for inexpensive, nutritionally rich food. Pune consumers are price-sensitive and experimental, which makes it a perfect market for a clean-label, value-oriented protein cafe concept. Online food delivery and takeaways also contribute to the business's scalability.

6. Lucknow:

As a developing Tier 2 city, Lucknow has a rapidly growing student population, a young professional population, and an aspirational middle class. Although it has conventionally been associated with hearty food, a shift toward health-conscious eating is evident among young people who frequent gyms and working corporate citizens. Café culture is expanding in neighbourhoods around universities, coaching facilities, and mixed-use commercial estates. A protein cafe that serves clean-label, affordable food without sacrificing taste can easily exploit this change in consumer attitude at relatively low competition and rental rates.

7. Ahmedabad:

The young health-conscious crowd, people are quite open to trying new brands, and the city has a very foodie culture.

8. Indore:

Once more, it's a city with a high eating-out culture. The availability of universities implies a juvenile population. Also, if the menu items are budgeted, students will be easily tempted to consume healthy food, yet they do not want to spend heavily.

9. Jaipur:

A tourist spot implies a flow of people willing to visit new concept cafes. Particularly when the site is close to well-known places, there is a high possibility of high traffic.

10. Vadodara:

The crowd in Vadodara is a well-balanced blend of students, young workers, and a culturally updated crowd. The number of fitness centers (gyms, yoga centers, sports clubs) is increasing in the city, which generates great interest in protein-based and healthy cafe products. The cafe market in Ahmedabad is not as saturated as in

Calcutta, and thus, Alpino should be able to build early brand recognition without egregious rental and operation expenses.

11. Rajkot:

Rajkot is a developing Tier-2 city that is experiencing a rise in disposable income as well as a high population of youth. Gyms, fitness influencers, and health awareness have grown at a very fast rate in the city over the past few years. Competition in branded protein cafes is minimal, hence Alpino will be able to establish itself as a pioneer, with reduced rentals and penetration into the market.

12. Gandhinagar:

Being an intended capital city, the level of government employees, PSU employees, and professionals have a stable expenditure capacity within Gandhinagar. Cafe culture is in its early stages particularly in areas surrounding Infocity and universities. Alpino has the potential of tapping into an untapped yet high quality market in search of clean, healthy, and reliable food products.

13. Nashik:

Nashik is a mixture of students, tourists, and health-conscious residents and in particular because of lifestyle and health-conscious atmosphere. Cafe culture is growing in the city, although it has few protein cafes that are specialised. Alpino has an opportunity to use this gap and attract daily customers as well as fitness consumers.

14. Nagpur:

It is a fast developing Tier-2 city with a growing infrastructure, migration of young people, and the growth of fitness awareness. Real estate is much cheaper compared to Mumbai or Pune, and therefore it can be easily expanded on a long term basis. The first-mover advantage can be used in the protein cafe segment to the advantage of Alpino.

15. Thane:

The young working population and families have a high population in Thane that is becoming health conscious. There is a high gym and fitness culture in the city that has less niche protein cafes than Mumbai. By missing the extreme rental pressures in central Mumbai, Alpino will be able to capitalize on this demand.

16. Navi Mumbai:

Navi Mumbai is a progressive city having contemporary infrastructure and information technology parks and a youthful workforce. People are very conscious about fitness and nutrition which makes them the best customers that Alpino could get. The city offers favourable mix and good demand together with relatively affordable operating costs.

5. SOP

6. Market Entry Plans

7. ROI Analysis

-Assumptions

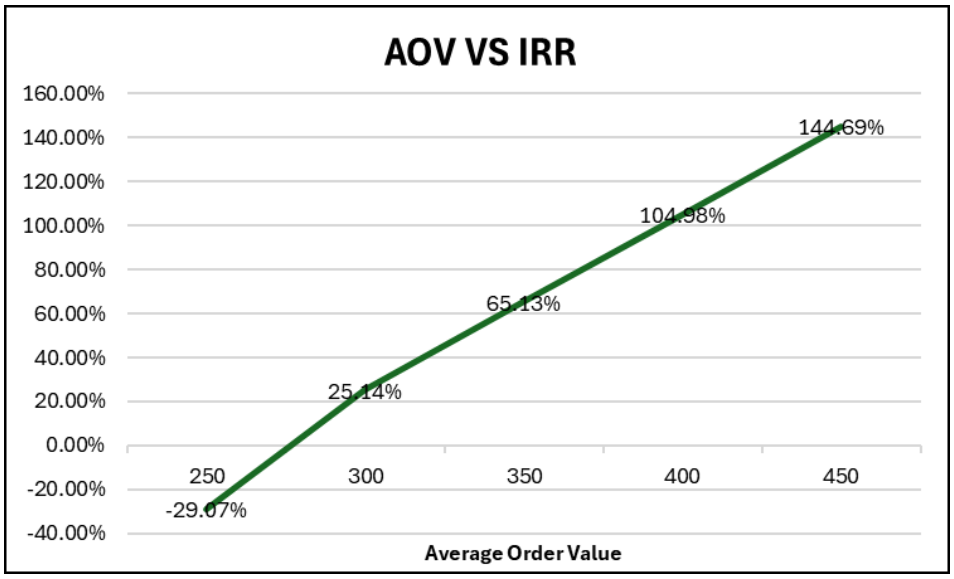
A ROI Model is prepared to assess the feasibility of opening a protein-based café in Surat and Ahmedabad. The model is built using certain assumptions- a mid-size 800 sq. ft QSR with a seating capacity of around 20-30 people, and nine staff working at the café. The café will be primarily operated with the Company-Owned Company-Operated (COCO) Model. This means that all the profits will be retained by the company itself, and similarly, all the investment, hiring and training of employees and managing operations will be done by the Alpino Protein Café.

To estimate revenue, a bottom-up approach is followed, by identifying the numbers of orders expected to be received per day. Since revenue is mainly driven by the Average Order Value, an AOV of ₹ 300.00 is assumed in the base case. An initial capex of ₹36.7 lakhs is assumed which covers kitchen equipment, furniture and fixtures, interiors, POS system costs, and security deposit of around 3-6 months of rent. It is assumed that the useful life of these assets or the costs of these assets will be amortised over 10 years using the straight-line depreciation method. Furthermore, the costs have been segregated into fixed and variable costs, with variable costs including the raw materials, packaging, and the storage costs and fixed costs include rent, fixed marketing, electricity, and internet and software charges.

Following that, free cash flows are calculated by adjusting the operating profit for depreciation, changes in working capital and initial capex costs. IRR is derived using free cash flows to understand the overall return generated by the investment.

-Analysis of Results

Overall, an IRR of 29.20% in Surat indicates that the café would be highly profitable and scalable. However, the returns are sensitive to the orders received and the Average Order Value.



At an AOV of ₹250, the returns become negative which indicates that the revenue is not enough to cover the costs, and the project is not economically viable. However, even a modest increase in the AOV to ₹300, increases IRR significantly to around 25%, and further to around 65% when AOV is ₹350. This highlights how important it is to make effective pricing decisions so that profits are achieved. This significant rise in IRR, given that AOV is changed by a proportionately smaller amount might be because of a strong operating leverage. Fixed costs remain constant while increasing revenue boosts profitability.

Another key driver is the customer footfall. Similar to AOV, a slight increase or decrease in no of orders can dramatically change IRR. At an IRR of around 25%, the breakeven for the café happens at around 4.6 years which seems reasonable in these types of cafes in the F&B industry.

Thus, this sensitivity analysis highlights that the company needs to have a strong brand identity in order to keep having a large number of orders and hence be profitable and also the pricing must be competitive so that it attracts customers, boosts revenue and returns, and not generate losses.

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